Review of the financial results for the six months ended 30th June 2014

The Directors of Umeme Limited are pleased to present the unaudited interim financial statements for the six months ended 30 June 2014.

Safety

Safety is our number one priority. Unfortunately, two network related fatalities were recorded in the first six months of the year. These incidents were reviewed by the Company and the Board and it is believed that with continued investment in the distribution network, community sensitisation and staff engagement, Umeme will improve its safety performance. Management is focused on ensuring that the situation improves in the second half of the year.

Review of financial results

The Company continued to perform well over the six months period in 2014 compared to the same period in 2013.

- Revenue has increased to Ushs 483 billion for the six months in 2014 compared to Ushs 467 billion achieved over the same period in 2013. Revenue from electricity sales increased by 6% due to reduction in energy losses and increase in purchases (GWh) by 2.4% due to growth in number of customers coupled with supply availability.
  - Energy losses have reduced to 21.6% for the six months in 2014 compared to 24.9% over the same period in 2013. The 3.3% reduction, the highest energy losses reduction since 2009, is equivalent to monthly savings of 7.6 GWh.
  - Customer numbers have increased by 13.7% to 613,444 as of 30 June 2014 compared to 539,557 as of 30 June 2013. The additional 73,887 new customer connections over the last 12 months is the highest connection rate ever achieved.
  - Revenue collections rate for the six months to 30 June 2014 was 96.6% compared to 102.7% achieved in 2013.
  - Customers on Pre-paid metering are now 94,229 compared to 30,601 customers as of 30 June 2013, reflecting an increase of 63,628 customers over the last 12 months. Customers with pre-paid meters represent 15% of the total customers.
- Gross profit increased by 5.1% to Ushs 153.53 billion in 2014 compared to Ushs 146.03 billion achieved over the six months in 2013. Cost of sales increased by 2.6%, mainly driven by increase in electricity purchases (GWh). The growth in gross profits is attributed to increase in returns from 2013 capital investments, while substantially achieving regulatory targets for losses and collections thus contributing to reduction in overall electricity sector costs.
- Engineering and Operations departments were re-organised during the period, in order to improve customer service and supply reliability. Planned network maintenance works for 2014 were prioritized in the first half of the year to improve supply reliability and public safety, ahead of the rainy season. Repair and maintenance costs increased to Ushs 13.5 billion in the period from Ushs 6.7 billion incurred in the first six months of 2013.
- Financing costs fell by Ushs 722 million due to reduction in concession related finance costs and capitalisation of borrowing costs.
- Profit after tax for the six months to 30 June 2014 was Ushs. 38.2 billion, a reduction of Ushs. 9.1 billion compared to the same period in 2013. The reduction was driven by an increase in repairs and maintenance costs and foreign exchange losses of Ushs 6.9 billion in 2014 compared to foreign exchange gains of Ushs. 2.9 billion in the six months to 30 June 2013.

Cash flows

- Cash generated from operations was Ushs 31.0 billion for first six months of 2014 compared to Ushs 51.9 billion in 2013. The reduction is attributed to increase in capital projects inventory (Ushs 13.6 billion) and Government of Uganda electricity arrears (Ushs. 34.5 billion), which will be recovered in the second half of the year.
- Final dividends for the year ended 31 December 2013 of Ushs. 27.3 billion were paid in July 2014.
- During the period, the Company drew US$ 35m (Ushs. 87 billion) from the US$ 170m term facility with International Finance Corporation, Stanbic Bank Uganda Limited and Standard Chartered Bank (the "Capex Credit Facilities"), to fund its capital investment programme.

Capital Investments

The company continued to implement its medium term investment strategy, with Ushs. 118 billion (US$ 47m) invested over the six months in network restoration, technical and commercial losses reduction, network expansion, new connections and rollout of prepaid metering. Key projects under implementation include a significant number of refurbishment and/or upgrade activities across the network, as well as construction of 3 new substations, rollout of prepayment metering to 100,000 customers and technical losses projects in Namugongo, Natete and Wandegeya. In support of government policy of efficient resource utilisation and curbing domestic arrears, Umeme is prioritising converting government ministries, departments and agencies to pre-paid metering.

Regulatory Environment

As noted in the *2013 Annual Report* the Electricity Regulatory Authority (ERA) has implemented Amendments 2 & 4 to the Supply Licence. As a result, for the six months to 30 June 2014, accrued revenue in accordance with IAS 18 was Ushs. 3.9 billion, bringing the total to date to Ushs. 41.7 billion. The company shall utilise the contractual remedies available to it under the concession agreements, discussed in detail in the *2013 Annual Report p18-19*, in compensating the company for any unrecovered costs incurred as a result of the amendments.

The Escrow Account is currently not funded. UEDCL is obliged to fund the Escrow Account, in accordance with its obligations under the Lease and Assignment Agreement.

The final report on the Parliamentary Ad-hoc Committee on Energy was debated in Parliament in March. Parliament recommended that the Umeme and Eskom concessions be terminated. Such recommendations are non-binding on the Government of Uganda and our view remains that Government is unlikely to initiate actions that deter much needed investment in Uganda's energy sector.

ERA has expressed certain opinions about the licence conditions associated with the recent Umeme Holdings Limited (UHL) share sale. Umeme is working closely with all regulatory stakeholders including ERA, the Ministry of Energy and Mineral Development and the Ministry of Finance and Economic Development to clarify and resolve the issues arising from these opinions.

Dividends

In accordance with the dividend policy of Umeme Limited, at its meeting held on 14th August 2014 the Board of Directors of the company resolved to pay an interim dividend of Ushs 9.4 per share. The total interim dividend is Ushs 15.3 billion, based on the performance of the Company over the period January to June 2014. It will be paid out of retained earnings which stood at Ushs 198.7 billion as at 30 June 2014. The interim dividend, which will be subjected to withholding tax where applicable, will be paid on 22 December 2014 to shareholders whose names appear on the Company's share register at close of business on 1 December 2014. The dividend will be paid into the shareholder bank accounts whose details are maintained by Securities Central Depository (SCD).

Outlook

Energy purchases (GWh) are expected to continue growing at the average of 2.5% compared to 6.8% achieved in 2013, due to a number of factors that include; progress on technical losses reduction, energy efficiency and country economic conditions. The company expects continued growth in new customer connections.

In addition to the US$35m drawn under the Capex Credit Facilities in the first half of the year, the company expects to draw US$25m in the second half of the year. Thus the cumulative drawdown from the US$ 170m Capex Credit Facilities by the end of 2014 shall be US$ 100m.

The investment plan for the year is on track, including the continued focus on the rollout of pre-paid metering. All new connections in the Kampala area are now on pre-paid metering, while all new up-country connections will be on prepaid metering effective November 2014.

By Order of the Board

Board Chairman

The new **Waliggo Substation** in Kyanja

Interim Financial Statements (un-audited) for the six Months Ended 30th June 2014

The Directors are pleased to announce the unaudited financial results of the company for the six months ended 30 June 2014.

INCOME STATEMENT

	Unaudited 30-Jun-14 Ushs million	Unaudited 30-Jun-13 Ushs million
Revenue	482,880	467,040
Cost of sales	(329,350)	(321,011)
GROSS PROFIT	**153,530**	**146,029**
Other operating income	3,865	6,301
Finance income	8,248	9,592
	165,643	**161,922**
Repair and maintenance expenses	(13,493)	(6,677)
Administration expenses	(60,597)	(61,265)
Foreign exchange losses	(6,975)	-
OPERATING PROFIT BEFORE AMORTISATION AND IMPAIRMENT	**84,578**	**93,980**
Impairment of assets	(998)	-
Amortisation of intangible assets	(16,367)	(13,171)
OPERATING PROFIT	**67,213**	**80,809**
Finance costs	(12,077)	(12,799)
PROFIT BEFORE TAX	**55,136**	**68,010**
Income tax expense	(16,865)	(20,677)
PROFIT FOR THE PERIOD	**38,271**	**47,333**
	Unaudited 30-Jun-14 Ushs	**Unaudited 30-Jun-13 Ushs**
BASIC AND DILUTED EARNINGS PER SHARE	**24**	**29**

STATEMENT OF FINANCIAL POSITION

	Unaudited 30-Jun-14 Ushs million	Audited 31-Dec-13 Ushs million
ASSETS		
NON CURRENT ASSETS		
Intangible assets	493,390	392,764
Concession arrangement financial asset: Non-current portion	97,220	91,787
	590,610	**484,551**
CURRENT ASSETS		
Concession arrangement financial asset: Current portion	118,562	109,234
Inventories	43,231	29,593
Amount recoverable from customer capital contributions	4,554	774
Trade and other receivables	248,994	230,813
Bank balances	36,580	33,941
	451,921	**404,355**
TOTAL ASSETS	**1,042,531**	**888,906**
EQUITY AND LIABILITIES		
EQUITY		
Issued capital	27,748	27,748
Share premium	70,292	70,292
Retained earnings	198,715	187,725
	296,755	**285,765**
NON-CURRENT LIABILITIES		
Borrowings: Non-current portion	183,829	90,798
Concession obligation: Non-current portion	97,220	91,787
Deferred income tax liability	46,161	37,905
Provisions	3,117	3,018
	330,327	**223,508**
CURRENT LIABILITIES		
Borrowings: Current portion	450	234
Concession obligation: Current portion	118,562	109,234
Customer security deposits	4,450	6,716
Deferred income	16,362	8,234
Trade and other payables	221,794	241,952
Current income tax payable	8,583	246
Dividends payable	27,281	-
Interest rate Swap	28	-
Bank overdraft	17,939	13,017
	415,449	**379,633**
TOTAL EQUITY AND LIABILITIES	**1,042,531**	**888,906**

STATEMENT OF CHANGES IN EQUITY

	Issued capital Ushs million	Share Premium Ushs million	Retained earnings Ushs million	Total Equity Ushs million
At 1 January 2013	27,748	70,292	141,407	239,447
Profit for the period	-	-	47,333	47,333
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	47,333	47,333
Dividends paid	-	-	(24,358)	(24,358)
At 30 June 2013	**27,748**	**70,292**	**164,382**	**262,422**
At 1 January 2013	27,748	70,292	141,407	239,447
Profit for the year	-	-	83,667	83,667
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	83,667	83,667
Dividends paid	-	-	(37,349)	(37,349)
At 31 December 2013	**27,748**	**70,292**	**187,725**	**285,765**
At 1 January 2014	**27,748**	**70,292**	**187,725**	**285,765**
Profit for the period	-	-	38,271	38,271
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	38,271	38,271
Dividend Payable	-	-	(27,281)	(27,281)
At 30 June 2014	**27,748**	**70,292**	**198,715**	**296,755**

STATEMENT OF CASH FLOWS

	Unaudited 30-Jun-14 Ushs million	Unaudited 30-Jun-13 Ushs million
Net cash flows from operating activities	**31,003**	**51,933**
INVESTING ACTIVITIES		
Purchase of intangible assets	(118,027)	(47,668)
Proceeds from sale of motor vehicles	36	-
Net cash flows used in investing activities	**(117,991)**	**(47,668)**
FINANCING ACTIVITIES		
Dividends paid	-	(24,358)
Proceeds from borrowings (net)	86,971	-
Repayment of IFC loan	-	(3,338)
Net cash flows from/(used in) financing activities	**86,971**	**(27,696)**
Net decrease in cash and cash equivalents	(17)	(23,431)
Cash and cash equivalents at 1 January	14,208	46,972
Cash and cash equivalents at 30 June	**14,191**	**23,541**

MESSAGE FROM THE DIRECTORS

These Interim Financial Statements are extracts from the books of the Company.

A copy of the interim financial statements can be obtained at the Umeme Ltd, Head Office, Rwenzori House, Plot 1 Lumumba Avenue, Kampala Uganda

By the Order of the Board

Chairman **Managing Director**